

BATFS

Past Paper Revision Series

Topic-based Past Paper Practice

Module 3

Basics of Personal Financial Management



Heung To Middle School

Book 1.3

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301 Time Value of Money

Multiple Choice Questions

1. DSE2012 – 9

On the first day of 2012, Johnny deposited \$6 000 into a fixed-interest bank account. Suppose the interest rate on the deposit is 4% per annum compounded annually, find out (to the nearest dollar) the total amount Johnny could withdraw at the end of 2014.

- A. \$6 480
- B. \$6 720
- C. \$6 749
- D. \$7 019

2. DSE2012 – 26

The effective rate of return on a time deposit is raised if

- A. the frequency of compounding is higher.
- B. the principal is larger.
- C. the period of deposit is shorter.
- D. the cost of capital is lower.

3. DSE2013 – 15

A bank launches the following savings plans:

	<u>Plan I</u>	<u>Plan II</u>	<u>Plan III</u>
Interest rate	5% per annum	5.5% per annum	6% per annum
Frequency of interest compounding	quarterly	half-yearly	yearly

Which plan(s) offer(s) the highest return after two years?

- A. Plan I
- B. Plan II
- C. Plan III
- D. Plan I and Plan III

4. DSE2014 – 13

Elsa plans to use the net present value to decide whether to buy a piece of office equipment. Which of the following of information does she need to make the decision?

- (1) cost of capital
- (2) cash flows arising from the acquisition and use of the office equipment
- (3) scrap value of the office equipment at the end of its useful life

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

5. DSE2015 – 17

On 1 January 2014, Mr Wong deposited \$500 000 into savings plan which offers a return of 5% per year, compounded annually. The total amount of money Mr Wong will get from the plan after 3 years is (to the nearest dollar).

- A. \$431 919
- B. \$525 000
- C. \$551 250
- D. \$578 813

6. DSE2016 – 14

A bank offers a savings plan which requires an initial deposit of \$100 000. The plan generates the following cash flows at the end of subsequent years:

	\$
Year 1	20 000
Year 2	35 000
Year 3	55 000

Given a discount rate of 5% p.a., what is the net present value of the savings plan?

- A. \$10 000
- B. \$9 523.81
- C. \$4 761.90
- D. -\$1 695.28

7. DSE2016 – 19

Peter wants to deposit \$500 000 in a bank for half a year. The bank offers him the following savings plans. Which plan offers the highest return?

- A. a lump sum interest of \$6 000 at the end of half a year
- B. an interest rate of 2.4% p.a., compounding quarterly
- C. an interest rate of 2.4% p.a., compounding half yearly
- D. an interest rate of 2.4% p.a., compounding annually

8. DSE2017 – 10

Mr. Lee is going to deposit an amount into a savings account with interest of 7% per year, compounded annually. He wants to receive a sum of \$150 000 from the account after 3 years. How much should he put into the savings account now?

- A. \$120 654
- B. \$122 445
- C. \$131 016
- D. \$183 756

9. DSE2017 – 13

If the nominal rate of return remains unchanged, which of the following statements about the effective rate of return are correct?

- (1) Effective rate of return reflects the actual return on an investment.
- (2) Effective rate of return will be higher if the amount of the principal increases.
- (3) Effective rate of return will be higher if the frequency of compounding increases.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2018 – 15

Mr Lee wants to buy a car 3 years later. Its price is \$500 000 now and is expected to increase by 3% per annum. To pay for the car after 3 years, he is considering investing in a fund with a return of 5% per annum, compounded annually. How much should he invest in the fund now?

- A. \$471 969
- B. \$490 476
- C. \$509 709
- D. \$529 695

11. DSE2018 – 19

Which of the following are required in the calculation of the net present value of investing in a machine?

- (1) initial cost of the machine
- (2) scrap value of the machine
- (3) useful life of the machine

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

12. DSE2019 – 29

On 1 April 2019, Yan deposited \$3 000 into a savings plan with an interest rate of 1% per year, compounded annually. If Yan deposits the same amount into the savings plan on 1 April every year, what is the account balance of Yan's savings plan as at 31 March 2022?

- A. \$3 091
- B. \$9 090
- C. \$9 181
- D. \$9 273

13. DSE2020 – 8

The following information is related to an investment project:

Initial cost:	\$15 000
Discount rate:	10%
Investment period:	3 years

The project will generate cash flows of \$6 000 at the end of both Year 1 and Year 2. If the cash flow at the end of Year 3 is _____, the net present value of the project is close to zero.

- A. 4 587
- B. 5 083
- C. 6 105
- D. 7 965

14. DSE2021 – 4

Mandy is considering investing in a 3-year project with the following details:

	Cash inflows/(outflows)
	\$
Beginning of Year 1	(70 000)
Beginning of Year 2	25 000
Beginning of Year 3	35 000

The scrap value at the end of the project is \$20 000. The discount rate is 5% per annum. What is the net present value of the project?

- A. -\$14 445
- B. \$187
- C. \$2 832
- D. \$3 520

15. DSE2021 – 30

Assuming the interest on an investment project is compounded semi-annually, which of the following statements about its nominal rate of return and effective rate of return are correct?

- (1) The effective rate of return of the project is higher than its nominal rate of return.
- (2) The effective rate of return of the project will be higher if its interest is compounded quarterly instead.
- (3) The effective rate of return of the project will be lower if the investment amount is lower.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

16. DSE2022 – 5

David deposited \$300 000 into a bank account on 1 April 2021. The deposit interest rate was 4% per annum, compounded quarterly. The total interest that David could get on 31 December 2021 was:

- A. \$8 000
- B. \$8 080
- C. \$9 000
- D. \$9 090

17. DSE2023 – 4

A bank offers an investment plan which requires an initial deposit of \$180 000. An investor can get a \$2 000 cash rebate upon joining the plan. Cash inflows of \$70 000 and \$150 000 will be generated at the beginning of Year 2 and Year 3 respectively. What is the net present value of the investment plan if the discount rate is 5% per annum?

- A. \$14 973
- B. \$22 721
- C. \$24 721
- D. \$31 429

18. DSE2023 – 24

Mary has made a 1-year term deposit for \$100 000 at an annual interest rate of 4%. Which of the following statements about this term deposit is/are correct?

- (1) The annual effective interest rate is the same as the annual nominal interest rate.
- (2) If the market interest rate increases six months later, the interest rate of the deposit will increase.
- (3) If Mary withdraws the money three months after making the deposit, she will get an interest income of \$1 000.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

19. DSE2024 – 25

Which of the following two-year investment projects has the highest effective rate of return?

- A. Annual interest rate: 8%; compounding frequency: once per two years
- B. Annual interest rate: 8%; compounding frequency: annually
- C. Annual interest rate: 9%; compounding frequency: semi-annually
- D. Annual interest rate: 9%; compounding frequency: quarterly

20. DSE2024 – 29

On 1 January 2024, Raymond deposited \$200 000 into an 18-month term deposit plan. The deposit interest rate is 5% per annum, compounded semi-annually.

The total amount that he will receive when the term deposit matures is

- A. 215 000
- B. 215 250
- C. 215 378
- D. 231 525

21. DSE2025 – 9

A bank offers an investment plan with an annual rate of return of 12%, compounded quarterly. What is the effective rate of return of the investment plan?

- A. 9.27%
- B. 12.55%
- C. 13.63%
- D. 15.92%

Short Questions

1. DSE2014-4(a)

Tom plans to get married and a flat three years later. The budgeted price of the flat is \$3 000 000. The down payment will be 30% of the flat's price. To save up for the down payment, Tom decides to make a time deposit in a bank.

If the bank offers an annual interest rate of 2% for the time deposit, how much money does Tom have to deposit today? (Note: Interest is compounded annually. Correct all amounts to the nearest dollar.)

(2 marks)

2. DSE2025 – 2(b)

Annie is a full-time university student who has earned an income of \$50 000 from a summer job. She plans to join an overseas exchange programme at a cost of \$54 000 in two years' time. To pay for it, she is considering investing the income into a two-year term deposit plan, which offers an interest of 4.25% per year, compounded half-yearly.

(b) Could Annie get a sufficient amount to pay for the cost of the overseas exchange programme by investing in the above term deposit plan? Show your calculations (to the nearest dollar).

(3 marks)

302 Consumer Credit

Multiple Choice Questions

1. DSE2012 – 21

Which of the following client information is the least relevant factor for a bank to reject a client's application for a credit card?

- A. record of repayment
- B. degree of loyalty to the bank
- C. level of outstanding debts
- D. record of bankruptcy

2. DSE2014 – 8

Which of the following statements about credit cards are correct? (1) A credit limit is set. (2) A minimum payment is set for the outstanding balance. (3) Interest will not be charged on the remaining balance if the minimum payment is made before the due date.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2014 – 28

Maintaining a good personal credit record is important because it will _____.

- (1) lower the cost of loans
- (2) increase the chance of getting loans
- (3) increase the upper limit of 70% on mortgage loans from banks

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

4. DSE2015 – 8

Mr Cheung plans to buy a residential property. Which of the following types of credit arrangement is the most appropriate for him?

- A. Credit card
- B. Personal loan
- C. Mortgage loan
- D. Bank overdraft

5. DSE2016 – 9

A credit card user

- (1) can buy goods and services overseas with a credit card issued in Hong Kong.
- (2) can settle the whole outstanding balance of the statement by the due date in order to avoid interest charges.
- (3) can enjoy a lower interest rate to settle the overdue credit card balance than for a personal loan.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

6. DSE2017 – 23

Which of the following are the benefits for a borrower of maintaining a good personal credit record?

- (1) Lower interest rate on personal loan
- (2) Higher credit limit
- (3) Better terms when opening a term deposit account

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. DSE2018 – 13

Which of the following statements about a bank overdraft is/are correct?

- (1) There is no fixed repayment schedule.
- (2) Its interest is usually charged on a monthly basis
- (3) Collateral is usually not required

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. DSE2019 – 8

Paul has taken out a 3-year personal loan of \$100 000 at an annual interest rate of 12%, compounded monthly.

Which of the following statements is/are correct?

- (1) The annual nominal interest rate of the loan is 12%.
- (2) The annual effective interest rate of the loan is higher than 12%.
- (3) In general, the interest rate for a personal loan is lower than that for a credit card.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2019 – 26

Which of the following statements about credit cards are correct?

- (1) They have a pre-approved credit limit
- (2) They have a payment due date
- (3) There is a monthly minimum payment for the outstanding balance

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2021 – 10

Which of the following is a difference between a bank overdraft and a personal loan?

	<u>Bank overdraft</u>	<u>Personal loan</u>
A. interest rate	lower	higher
B. repayment arrangement	flexible	fixed
C. pre-approved credit limit	no	yes
D. monthly minimum payment	yes	no

11. DSE2021 – 14

Which of the following will have an adverse impact on the credit rating of a person?

- (1) A person has a bankruptcy record.
- (2) A person failed to meet the loan repayment schedule before.
- (3) A person has been unemployed for more than 1 year.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

12. DSE2022 – 17

Macy has a poor personal credit rating. Which of the following would be caused by her poor personal credit rating?

- (1) bankruptcy will be filed by the creditors
- (2) higher loan interest is likely to be paid
- (3) her application for a credit card may not be approved

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

13. DSE2023 – 9

Which of the following statements about credit cards is/are correct?

- (1) The issuing bank can check the personal credit record of an applicant before approving the credit card application.
- (2) Collateral is required when applying for a credit card.
- (3) The annual fee is waived if the cardholder settles the monthly credit card balance punctually.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (3) only

14. DSE2024 – 8

To maintain a good personal credit record, a credit card user should

- (1) use the full credit limit of his/her credit card
- (2) assess his/her repayment ability before using a credit card
- (3) settle the credit card outstanding amount on or before the payment due date

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. DSE2024 – 14

Which of the following statements about a personal instalment loan is/are correct?

- (1) There is a fixed repayment schedule.
- (2) The interest rate fluctuates over the loan period.
- (3) The interest rate is usually lower than that of a bank overdraft.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

16. DSE2025 – 10

Which of the following statements about personal credit record is/are correct?

- (1) The credit score of a retired person is lower than that of an employed person.
- (2) Any individual has the right to check his/her own credit report.
- (3) A borrower with a higher credit score can obtain loans more easily.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

17. DSE2025 – 11

Which of the following statements about credit cards is/are correct?

- (1) Interest is calculated on the overdue balance on a daily basis.
- (2) The credit limit of all credit card users is the same.
- (3) The bank will not charge interest on the outstanding balance if a credit card user repays the minimum payment before the due date.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

Short Questions

1. DSE2013 – 1(a)

Many people are using credit cards to purchase goods and services. Explain two benefits for customers of using credit card. (4 marks)

2. DSE2013 – 1(b)

Explain one reason why credit card companies are more willing to issue credit cards to applicants with good personal credit records. (2 marks)

3. DSE2019 – 2(a)

Johnny has just graduated from university. His teacher reminded him to maintain a good personal credit record.

Give two factors which could affect Johnny's personal credit record. Explain how each of the factors would affect his personal credit record. (4 marks)

4. DSE2020 – 3(a)(b)

David is 30 years old and single. He is a professional accountant working in an international accounting firm. He has just acquired a residential flat and paid a down payment on the price of the flat. To buy furniture for his new home, he is considering using his credit card, applying for a personal loan or a bank overdraft.

(a) What is a 'bank overdraft'? (2 marks)

(b) Suppose David has decided to use a credit card to pay for the furniture. Give two reasons for using his credit card instead of applying for a personal loan. (4 marks)

5. DSE2022 – 2(b)

Chris and his wife, Helen, are planning to renovate their flat to provide a room for their new-born baby. Chris is thinking to take out a personal loan for that purpose. Helen reminds him that his personal credit record is unfavourable and therefore he has a lower credit rating.

(b) Suggest two ways to Chris to improve his personal credit rating. (2 marks)

6. DSE2023 – 5(c)

Kelly is considering buying a parking space for her own car, but she does not have enough cash. She is thinking of borrowing \$500 000 by a personal loan or a bank overdraft. Her friend advises her to take out a personal loan.

Give two reasons why Kelly should borrow \$500 000 by a personal loan rather than a bank overdraft.

(4 marks)

7. DSE2025 – 2(c)

Annie is a full-time university student who has earned an income of \$50 000 from a summer job. She plans to join an overseas exchange programme at a cost of \$54 000 in two years' time. To pay for it, she is considering investing the income into a two-year term deposit plan, which offers an interest of 4.25% per year, compounded half-yearly.

- (c) Apart from a personal loan, suggest an appropriate type of consumer credit that Annie could use to buy flight tickets for the overseas exchange. Explain one advantage of using this type of consumer credit.

(3 marks)

303 Personal Financial Planning and Investment

Multiple Choice Questions

1. DSE2012 – 5

Which of the following types of employee is exempted from joining the Mandatory Provident Fund Scheme?

- A. construction workers
- B. security guards
- C. catering workers
- D. domestic employees

2. DSE2013 – 6

Which of the following statements is correct?

- A. A 6-month government bill is an investment instrument in the equity market.
- B. An investment instrument with a higher risk may yield a higher return.
- C. Market risk can be avoided by investing in various financial products.
- D. Investment in the preferred stock is more risky than in the common stock of a company.

3. DSE2013 – 25

Mary is a Secondary 5 student. She has just earned \$8 000 from her summer job. She plans to use the money for paying her university tuition fee one year later. If she wants to keep the principal and at the same time looks for some returns) which of the following instruments is most suitable to her?

- A. current account
- B. fixed deposit
- C. blue chips
- D. warrants

4. DSE2014 – 4

Which of the following statements about the Mandatory Provident Fund (MPF) system is correct?

- A. Self-employed persons are not required to enroll in an MPF scheme.
- B. Employees covered by the MPF system are required to contribute 5% of their income.
- C. Employees can choose to make extra voluntary contribution in addition to the regular mandatory contributions.
- D. MPF scheme members can withdraw their accrued benefits when they reach the age of 60.

5. DSE2014 – 27

Which of the following financial products carries the highest investment risk?

- A. savings deposits
- B. time deposits
- C. preference shares
- D. ordinary shares

6. DSE2015 – 20

Under which of the following circumstances can a scheme member withdraw the accrued benefits from the

(1) Mandatory Provident Fund Scheme?

(2) Early retirement at the age of 60

(3) Unemployed for more than 6 months

(4) Permanent departure from Hong Kong

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. DSE2015 – 28

Which of the following are the responsibilities of an individual investor?

(1) Understand the terms before signing a contract

(2) Check account statements from time to time

(3) Attend the Annual General Meetings of the company invested in

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. DSE2016 – 4

Anna has just retired at the age of 65 and has received a substantial amount from a provident fund. She plans to invest the money to get some returns but is not willing to take high risks. Which of the following financial instruments is the least suitable for her?

- A. term deposits
- B. saving deposits
- C. iBond
- D. shares

9. DSE2016 – 25

Simon is a self-employed fashion designer. He

- (1) has the right not to enrol into a Mandatory Provident Fund (MPF) scheme.
- (2) has the right to make voluntary contributions to the MPF scheme.
- (3) has the right to withdraw his accrued benefits from the MPF scheme before reaching the age of 65 if he migrates to another country.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

10. DSE2017 – 7

Anna is 62 years old and works as a part-time consultant in a firm, with a monthly salary of \$40 000.

Under the Mandatory Provident Fund System, what will be the amount Anna contributes each month?

- A. \$4 000
- B. \$2 000
- C. \$1 500
- D. \$0

11. DSE2018 – 25

Which of the following statements about risk and return is correct?

- A. Market risk can be diversified.
- B. High-risk financial products must have high returns.
- C. Risk-averse investors usually prefer investing in bonds to making term deposits
- D. Conservative retired persons usually prefer investing in bonds to stocks.

12. DSE2018 – 30

Which of the following statements about the Mandatory Provident Fund (MPF) System is correct?

- A. Self-employed persons aged between 16 and 65 are required to join the MPF Scheme.
- B. Construction workers are exempted from the MPF Scheme.
- C. MPF scheme members can apply for early withdrawal of the accrued benefits from the MPF Scheme if they are unemployed for more than two years.
- D. When changing jobs, MPF scheme members can transfer their accrued benefits to another MPF trustee.

13. DSE2019 – 18

Tracy, aged 35, set up a dessert shop as a sole proprietor in 2015. Since then, she has employed Betty, aged 30, as a part-time helper at a monthly salary of \$5 000. Which of the following statements about the Mandatory Provident Fund (MPF) Scheme is/are correct?

- (1) Tracy needs to enroll herself into an MPF scheme
- (2) Tracy needs to enroll Betty into an MPF scheme and make mandatory contributions for her
- (3) Betty needs to make mandatory contributions to the MPF Scheme

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

14. DSE2019 – 20

Which of the following statements about the risks and returns of investments is/are correct?

- (1) Investing in stocks of companies from different industries can diversify firm-specific risk.
- (2) Making a deposit into a savings account is risk free.
- (3) Investors can get capital gains and dividends as returns for investing in bonds.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. DSE2020 – 19

Which of the following are the rights of an investor in debentures?

- (1) can lodge a complaint if there is a misconduct by the investment agent
- (2) can ask for the rationale behind an investment recommendation
- (3) can cancel the investment transaction in the cooling off period

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

16. DSE2020 – 25

Which of the following statements about the Mandatory Provident Fund (MPF) System is/are correct?

- (1) Employees can transfer the accrued benefits in their contribution accounts to an MPF scheme of their own choice once a year.
- (2) Self-employed hawkers are not required to join an MPF scheme.
- (3) If the income of an employee is below the minimum relevant income level, both the employee and the employer are not required to make mandatory contributions.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

17. DSE2021 – 20

Which of the following statements about the Mandatory Provident Fund (MPF) System is/are correct?

- (1) Employees can make voluntary contributions in addition to mandatory contributions to the MPF scheme.
- (2) Mr Lam is a 68-year-old taxi driver with a monthly income of \$10 000. He is required to contribute \$500 each month to the MPF scheme.
- (3) Mr Chan is a self-employed hawker who earned a net income of \$120 000 last year. He was required to contribute \$6 000 to the MPF scheme.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

18. DSE2021 – 23

Which of the following statements about debentures are correct?

- (1) Investors with lower risk tolerance level usually prefer investing in debentures to stocks.
- (2) Debenture holders will receive higher interest if the market interest rate increases.
- (3) Repayment of principal is made to debenture holders on the maturity date.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

19. DSE2021 – 27

Ben has just retired. He wants to invest his provident fund to earn a stable income. Which of the following financial instruments is most suitable to him?

- A. constituent stocks of the Hang Seng Index
- B. stocks listed on GEM
- C. term deposits
- D. savings deposits

20. DSE2022 – 24

Which of the following is/are right(s) of a share investor?

- (1) to receive investment transaction statements
- (2) to receive stable dividend income
- (3) to be involved in the daily operations of the company

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

21. DSE2022 – 26

Both (1) _____ and (2) _____ may have capital gain or loss, whereas the latter offers interest as a return to investors.

- A. (1) stocks; (2) term deposits
- B. (1) stocks; (2) bonds
- C. (1) bonds; (2) term deposits
- D. (1) bonds; (2) stocks

22. DSE2022 – 27

Which of the following statements about the Mandatory Provident Fund (MPF) System is correct?

- A. Employees, self-employed persons and employers may choose to make voluntary contributions on top of their mandatory contributions.
- B. Employees can withdraw their MPF immediately if they retire before the age of 60.
- C. Part-time staff are exempted from joining the MPF Scheme.
- D. An employee with a monthly income of \$40 000 is required to contribute \$2 000 each month.

23. DSE2023 – 15

Which of the following statements about the rights and responsibilities of an investor is/are correct?

- (1) The responsibility to understand the terms of an investment contract before signing it.
- (2) The right to decide whether to follow a broker's investment recommendations.
- (3) The right to claim compensation if there are frequent losses in the investment.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

24. DSE2023 – 19

Which of the following persons is not required to make contributions to the Mandatory Provident Fund?

- A. An 18-year-old DSE candidate with a monthly income of \$9 000 for 3 months from a summer job in a fast food restaurant.
- B. A 35-year-old part-time office clerk with a monthly income of \$7 000.
- C. A 63-year-old full-time shopping mall cleaner with a monthly income of \$8 500.
- D. A 40-year-old self-employed basketball coach with a monthly income of \$18 000.

25. DSE2023 – 29

Which of the following statements about a bondholder of a company is correct?

- A. A bondholder has voting rights in the annual general meeting of the company.
- B. A bondholder has the right to share the profits of the company.
- C. If the company is liquidated, a bondholder can get back the principal after the company has repaid the shareholders' investment.
- D. A bondholder receives periodic fixed interest even when the company makes a loss.

26. DSE2024 – 4

Which of the following is the right of self-employed persons under the Mandatory Provident Fund (MPF) System?

- A. They can opt out of the MPF scheme if their monthly relevant income is below \$7 100.
- B. They can withdraw part of the accrued benefits from the MPF scheme annually.
- C. They can change the investment portfolio of their MPF account.
- D. They can choose to make contributions to the MPF quarterly.

27. DSE2025 – 12

Which of the following statements about investing in corporate bonds and term deposits is/are correct?

- (1) The rate of return of investing in corporate bonds must be higher than that of term deposits as the investment risk of the former is higher.
- (2) The interest rates of both are fixed during the investment period.
- (3) Investors of both are entitled to receive the principal on the maturity date.

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

28. DSE2025 – 13

Which of the following persons is eligible to withdraw the accrued benefits from the Mandatory Provident Fund (MPF) scheme?

- A. A 62-year-old self-employed taxi driver, who has just retired.
- B. A 60-year-old worker whose MPF account balance is \$10 000.
- C. A 40-year-old manager of a multinational corporation, who has just been transferred to the overseas headquarters.
- D. A 35-year-old clerk, who resigned from his job and went for further study.

29. DSE2025 – 14

Which of the following is/are the right(s) of an individual investor?

- (1) to buy and sell shares on the Stock Exchange of Hong Kong without a broker
- (2) to be informed of the service charges for investment transactions
- (3) to decide whether or not to follow the recommendations made by an investment consultant when making investment decisions

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

Short Questions

1. DSE2012 – 3

Mr Au is an inexperienced investor and the majority of his investments are in the shares of a single company. His son suggests that he should switch part of his investments to a mutual fund or other less risky financial instruments with stable returns.

(a) Briefly explain one purpose that Mr Au could achieve through investing in a mutual fund. (2 marks)

(b) List two less risky financial instruments with stable returns for Mr Au. (2 marks)

2. DSE2014 – 4(b)

Tom plans to get married and a flat three years later. The budgeted price of the flat is \$3 000 000. The down payment will be 30% of the flat's price. To save up for the down payment, Tom decides to make a time deposit in a bank.

(b) A friend of Tom advises him to invest the sum of money in securities for a higher return. Given that Tom needs the amount three years later for the down payment on the flat, would you advise him to invest in government bonds or ordinary shares. Explain why. (3 marks)

3. DSE2015 – 3(a)

Calvin is a retail investor. He invested \$200 000 to buy shares listed on the Hong Kong Stock Exchange through a licensed stockbroker in Hong Kong. As the broker defaulted, Calvin was not able to get back his investment. He therefore applied to the Investor Compensation Fund to claim the loss.

(a) Explain two ways in which investing in shares might benefit an investor. (4 marks)

4. DSE2017 – 2

Mary had just retired and received her retirement fund. A financial planner advised her to invest the retirement fund in various financial instruments.

(a) Explain two of Mary's financial needs after her retirement. (4 marks)

(b) As an investor, what responsibilities does Mary have? List any two. (2 marks)

5. DSE2020 – 3(c)

David is 30 years old and single. He is a professional accountant working in an international accounting firm. He has just acquired a residential flat and paid a down payment on the price of the flat. To buy furniture for his new home, he is considering using his credit card, applying for a personal loan or a bank overdraft.

- (c) List two financial needs that David has in his present life stage. (2 marks)

6. DSE2021 – 2(c)

Jenny is an inexperienced investor. Recently, a friend recommended buying the shares of a real estate development company. The company operates shopping malls and hotels in Hong Kong. Its shares are one of the constituent stocks of the Hang Seng Index.

- (c) List two of Jenny's rights as a share investor. (2 marks)

7. DSE2022 – 2(a)(c)(d)

Chris and his wife, Helen, are planning to renovate their flat to provide a room for their new-born baby. Chris is thinking to take out a personal loan for that purpose. Helen reminds him that his personal credit record is unfavourable and therefore he has a lower credit rating.

- (a) State two financial needs that Chris has in his present life stage based on the information above. (2 marks)

After careful consideration, Chris has borrowed a personal loan of \$200 000.

Chris will receive a bonus of \$100 000 from his employer later. He wants to invest the money in the stocks listed on the GEM. Helen suggests investing in iBond instead.

- (c) Give two reasons to justify Helen's suggestion of investing in iBond instead of the stocks listed on the GEM. (2 marks)
- (d) Assume that Chris decides to repay part of the personal loan rather than investing with the bonus. Give one reason to support his decision. (2 marks)

8. DSE2024 – 3(a)(i)(ii)

The following is an advertisement of a bank:

US-China Trade Conflict! Stock Market Crash! Term Deposits are Safe!	
Annual Return Rate	5.45%
Deposit Period	12 months
Minimum Deposit	\$100 000

(a) Explain one difference between investing in term deposits and ordinary shares in terms of each of the following:

(i) return on investment

(ii) maturity date

(4 marks)

9. DSE2025 – 2(a)

Annie is a full-time university student who has earned an income of \$50 000 from a summer job. She plans to join an overseas exchange programme at a cost of \$54 000 in two years' time. To pay for it, she is considering investing the income into a two-year term deposit plan, which offers an interest of 4.25% per year, compounded half-yearly.

(a) State two of Annie's financial needs as a full-time university student.

(2 marks)

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Multiple Choice Questions

1. DSE2014 – 2

If an investor wants to complain about the misconduct of his broker in a share transaction, which of the following organisations should he turn to?

- A. Hong Kong Monetary Authority
- B. Securities and Futures Commission
- C. Hong Kong Exchanges and Clearing Limited
- D. Investor Compensation Company Limited

2. DSE2014 – 12

Which of the following statements about the securities market is/are correct? (1) Investor can buy and sell securities in the primary market. (2) The secondary market comprises the listed exchanges and the over-the-counter market. (3) A listed company may issue new shares to raise funds through the securities market.

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2016 – 27

Compared with the Main Board's basic listing requirements, the operating history requirement for Growth Enterprise Market applicants is (1) the market capitalisation requirement for Growth Enterprise Market applicants is (2)

- | | (1) | (2) |
|----|----------|------------------------|
| A. | looser | stricter |
| B. | stricter | looser |
| C. | stricter | stricter |
| D. | looser | looser |

4. DSE2017 – 3

Which of the following statements about Hang Seng Index is not correct?

- A. Its sub-indexes are: Finance, Utilities, Properties and Commerce and Industry.
- B. It measures the performance of the latest and most liquid companies listed in Hong Kong.
- C. It includes 50 stocks listed on the Growth Enterprise Market.
- D. It serves as a benchmark of the general performance of the Hong Kong stock market.

5. DSE2017 – 17

The following are the basic listing requirements for new applicants to list their stocks on the Main Board of the Stock Exchange of Hong Kong except _____.

- A. Size of workforce
- B. Amount of cash flow
- C. History of operation
- D. Profit attributable to shareholders

6. DSE2017 – 26

Which of the following will affect the share price of a listed company selling motorcars?

- (1) Fuel price
- (2) Interest rate
- (3) Dividend policy of the company

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. DSE2018 – 3

If the Hang Seng Index (HSI) rose by 10% during the past month, it means that _____ during the past month.

- (1) the 'HSI-Commerce & Industry' rose by 10%
- (2) the turnover of the HSI constituent stocks increased by 10%
- (3) the market prices of the HSI constituent stocks rose in general

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

8. DSE2018 – 22

In the basic listing requirements of the Growth Enterprise Market for new applicants, there is no minimum requirement relating to _____.

- A. cash flow
- B. profit
- C. operating history
- D. market capitalisation

9. DSE2019 – 15

Which of the following statements about the basic requirements for new applicants of listing on the Main Board is/are correct?

- (1) Applicants must fulfil the requirement in operating history.
- (2) Applicants must be multinational corporations.
- (3) Applicants must meet one of the following criteria: the profit test, the market capitalisation/revenue test, or the market capitalisation/revenue/cash flow test.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

10. DSE2019 – 24

Which of the following statements about the Hang Seng Index is correct?

- A. It is composed of 60 constituent stocks
- B. All its constituent stocks are listed on the Main Board of the Stock Exchange of Hong Kong
- C. It reflects the performance of the stock market in the Asia-Pacific region
- D. 'Information technology' is one of the four sub-indexes

11. DSE2020 – 4

Which of the following descriptions of the Hang Seng Index is/are correct?

- (1) 'Utilities' is a sub-index of the Hang Seng Index.
- (2) It indicates the dividend policies of the companies of the constituent stocks.
- (3) It is a platform for businesses to raise capital.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

12. DSE2020 – 15

Ignore other factors, which of the following will lead to a decrease in the share price of a listed airline company?

- (1) a rise in interest rate
- (2) a rise in fuel price
- (3) the airline company issued a profit warning

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

13. DSE2020 – 28

Which of the following descriptions of the Main Board and GEM (previously known as Growth Enterprise Market) are correct?

- (1) More companies are listed on the Main Board than on GEM.
- (2) 'Management continuity for at least the three preceding financial years' is one of the basic listing requirements for applicants to list on the Main Board.
- (3) The Main Board was set up for large and established companies.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

14. DSE2022 – 9

Which of the following statements about the Hang Seng Index is/are correct?

- (1) It is computed by taking into account all stocks listed on the Stock Exchange of Hong Kong.
- (2) It serves as a benchmark to assess the price trend of a listed stock to facilitate investment decisions.
- (3) It reflects the general price level of the stocks listed on the Main Board of the Stock Exchange of Hong Kong.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

15. DSE2022 – 13

Ignoring other factors, which of the following government policies will lead to an increase in the share price of a fast food chain?

- (1) disbursement of electronic consumption vouchers to citizens
- (2) raise the stamp duty rate on stock transactions
- (3) release of social distancing measures imposed during the COVID-19 pandemic

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

16. DSE2023 – 12

Ignoring other factors, which of the following will lead to an increase in the share price of a listed company selling electric vehicles?

- (1) More electric charging stations are available.
- (2) The government announces the first registration tax concession arrangement for electric vehicles.
- (3) A technology breakthrough which enhances the energy efficiency of electric vehicles.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

17. DSE2023 – 26

Which of the following is not a basic listing requirement of the Main Board of the Stock Exchange of Hong Kong?

- A. market capitalisation
- B. the qualification of the Chief Executive Officer
- C. operating history
- D. cash flow

18. DSE2024 – 16

The following table compares the basic requirements for new applicants to be listed on the two platforms of the Stock Exchange of Hong Kong:

	<u>Platform A</u>	<u>Platform B</u>
Trading record	longer period	shorter period
Market capitalisation	higher	lower

Which of the following statements is correct?

- A. Companies listed on Platform A distribute dividend to shareholders every year.
- B. More companies are listed on Platform A than Platform B.
- C. Platform A targets multinational corporations while Platform B targets small and medium enterprises.
- D. Inexperienced investors should only invest in stocks listed on Platform B.

19. DSE2024 – 20

If the Hang Seng Index (HSI) of the last trading day of a year is lower than that of the first trading day of the year, it means that in the year.

- (1) the number of HSI constituent stocks decreased
- (2) the general price level of the HSI constituent stocks dropped
- (3) the capital amount raised by newly listed companies in the Hong Kong stock market decreased

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

20. DSE2025 – 15

Ignoring other factors, which of the following will lead to an adverse effect on the share price of a shipping company?

- (1) a strike of employees
- (2) an increase in terminal capacity
- (3) an increase in oil price

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

21. DSE2025 – 16

Which of the following statements about the Hang Seng Index is correct?

- A. The number of constituent stocks has remained unchanged in the past five years.
- B. It serves as a benchmark of the general performance of the stocks and bonds issued by companies listed in Hong Kong.
- C. A different weighting is assigned to different constituent stocks when computing the index.
- D. 'Tourism' is one of the four sub-indexes.

Short Questions

1. DSE2016 – 2

(a) Explain how the share price of a property development company in Hong Kong changes in a booming local economy. (3 marks)

(b) Suggest two ways in which investors can use the Hang Seng Index to make investment decisions. (4 marks)

2. DSE2018 – 3(a)(i)(ii)

Darwin Limited is a listed company, running a department store business with five stores of a similar size in Hong Kong.

(a) Ignoring other factors, explain how each of the following two policies may affect the share price of Darwin Limited: (4 marks)

- (i) the generous dividend policy of the company
- (ii) the mainland government limits the number of visits to Hong Kong per week by its residents

3. DSE2021 – 2(a)(i)(ii)(b)

Jenny is an inexperienced investor. Recently, a friend recommended buying the shares of a real estate development company. The company operates shopping malls and hotels in Hong Kong. Its shares are one of the constituent stocks of the Hang Seng Index.

(a) (i) What does the Hang Seng Index reflect? (1 mark)

(ii) Give one way that Jenny can use the Hang Seng Index to make investment decisions. (1 mark)

(b) Ignoring other factors, explain how the following situation may affect the share price of the real estate development company:

When the epidemic eased, the government removed the entry restriction for non-local residents implemented during the spread of COVID-19. (3 marks)

4. DSE2024 – 3(b)

The following is an advertisement of a bank:

US-China Trade Conflict! Stock Market Crash!	
Term Deposits are Safe!	
Annual Return Rate	5.45%
Deposit Period	12 months
Minimum Deposit	\$100 000

- (b) Ignoring other factors, explain how the share price of a computer chip re-exporter in Hong Kong may be affected if the United States imposes restrictions on computer chips exported to the Mainland.(3 marks)

Name:
Class:
Class No: